China Gas Utilities

1H26 preview - weak results and consensus earnings cuts are likely; turning point yet to come

We expect weak 1H26 results for China Gas utilities and the majority of the companies to report lower earnings yoy (Table 3) on the back of weak gas volumes, a decline in new connections and gas margins. We expect a round of earnings cuts post results; our FY26-27E earnings forecasts are ~7% below consensus. Despite YTD underperformance and undemanding valuations (~6% yield on average), we believe a turning point for the sector is yet to come as winter gas prices may climb yoy, bringing uncertainty to winter gas margins. We remain selective on stocks and suggest to buy on dips post-results. Our top pick is ENN Energy, as the company offers >7% yield in FY26E with guaranteed DPS (HK$3/share). We see room for a cut to growth capex and improving FCF, and we think management may consider a buyback/raising DPS amid the significant underperformance YTD, which is not factored in to the price.

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- **1H results likely to disappoint**: We forecast most gas utilities to miss on 1H26 results (see Table 3) with ~4% decline in profits on average. HKCG is the only company for which we expect positive earnings growth on strong SAF profits amid elevated oil prices. We trim our earnings for 26-27E by ~5-6% on average (Table 4) and our forecasts are ~7% below consensus. We expect consensus earnings cuts post earnings.

- **Turning point yet to come**: Despite a >20% share decline YTD (HSCEI -~7%), we remain selective on stocks. This comes as the operating outlook remains challenging with weak gas volume growth (<1% in 26E for our covered names), elevated gas prices and a continued decline in new connections. These factors aren't likely to change much during 2H26. Also, we see uncertainties around winter gas margins on the back of continued uncertainty in global gas supply and LNG procurement costs. Yet, we see value for names with attractive yield with upstream resources (which could better weather gas price volatility). These include ENN Energy (>7% yield in 26E with LNG trading profits in 2H with its overseas contracts) and ENN Natural Gas (>6% yield in 27E with >3bcm of overseas LNG sales on JPMe).

- **Winter gas margin remains uncertain**: Our global energy analyst forecasts winter gas prices to almost double yoy in 4Q26 with tight global LNG supply-demand balances and low European storage levels. Note that NWE+UK storage facilities were 41% full as of July 12 (vs 56% at the same time last year and the 2022-25 average of 70%) (note). This poses downside risks to winter gas margins in our view, as residential heating volume was low last year due to the warm winter. Some gas utilities may need to procure spot LNG to satisfy winter heating demand. We believe the sector is unlikely to re-rate positively until investors have more clarity on the gas price outlook.

See page 22 for analyst certification and important disclosures, including non-US analyst disclosures.

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap ($ mn)	Price CCY	Price	Rating Cur	Rating Prev	Price Target Cur	Price Target End Date	Price Target Prev	Price Target End Date
China Resources Gas	1193 HK	4,593	HKD	15.56	N	n/c	16.50	Jun-27	18.50	Dec-26
ENN Energy	2688 HK	6,145	HKD	42.56	OW	n/c	57.00	Jun-27	68.00	Dec-26
ENN Natural Gas – A	600803 CH	7,457	CNY	16.30	OW	n/c	21.00	Jun-27	25.00	Dec-26
Kunlun Energy	135 HK	7,460	HKD	6.77	OW	n/c	7.60	Jun-27	8.50	Dec-26

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 16 Jul 26.

Table 1: China Gas Utilities – Valuation Comps

Company	Ticker	JPM Rating	JPM PT (Local)	Last price (Local)	Upside (%)	Mkt cap (US$mn)	Avg daily liquidity (US$mn)	P/E (x) FY26E	P/E (x) FY27E	P/B (x) FY26E	P/B (x) FY27E	Yield (%) FY26E	Yield (%) FY27E	Net debt/equity (%) FY26E	Net debt/equity (%) FY27E	RoE (%) FY26E	RoE (%) FY27E	EV/EBITDA (x) FY26E	EV/EBITDA (x) FY27E
HKCG	3 HK	N	7.3	6.7	9.1	15,924	21.6	20.9	20.3	2.1	2.1	5.2	5.2	75.7	76.2	11.9	12.4	15.4	15.1
Kunlun	135 HK	OW	7.6	6.8	12.3	7,459	11.4	9.4	9.0	0.7	0.7	5.4	5.5	(28)	(31)	7.8	7.8	3.4	3.3
China Gas*	384 HK	N	5.7	5.8	(1.0)	4,003	11.3	10.8	10.6	0.5	0.5	6.1	6.1	79	75	5.0	5.0	9.7	9.6
CR Gas	1193 HK	N	16.5	15.6	6.0	4,593	8.8	10.0	9.7	0.8	0.8	6.1	6.1	19	14	7.9	7.9	6.7	6.5
ENN Energy	2688 HK	OW	57.0	42.6	33.9	6,145	30.6	7.2	7.1	0.8	0.8	7.0	7.1	18	16	11.5	11.1	5.3	5.1
ENN Natural Gas	600803 CH	OW	21.0	16.3	28.8	7,455	26.4	9.7	8.0	1.9	1.7	5.9	6.3	18	12	20.2	22.2	7.0	6.1
Average								***11.3***	***10.8***	***1.1***	***1.1***	***6.0***	***6.0***	***30***	***27***	***10.7***	***11.1***	***7.9***	***7.6***

Source: Bloomberg Finance L.P., J.P. Morgan estimates. Priced as of 16 Jul 2026.

Table 2: J.P. Morgan Commodities Research global natural gas price forecasts

		2023	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26	4Q26	2026	1Q27	2Q27	3Q27	4Q27	2027
Forecast	*TTF (EUR/MWh)*										*55.00*	*60.00*	*51.68*	*60.00*	*40.00*	*40.00*	*45.00*	*46.25*
	NBP (GBp/Therm)										*135.00*	*150.00*	*128.62*	*150.00*	*97.00*	*97.00*	*113.00*	*114.25*
	HH ($/MMBtu)										**3.60**	**4.15**	**3.92**	**4.00**	**3.45**	**3.60**	**3.85**	**3.73**
	JKM ($/MMBtu)										**18.90**	**20.60**	**17.57**	**20.60**	**14.40**	**14.40**	**15.60**	**16.25**
	TTF ($/MMBtu)										**18.40**	**20.10**	**17.41**	**20.10**	**13.40**	**13.40**	**15.10**	**15.50**
	NBP ($/MMBtu)										**18.10**	**20.10**	**17.27**	**20.10**	**13.00**	**13.00**	**15.10**	**15.30**
	TTF - JKM spread ($/MMBtu)										**-0.50**	**-0.50**	**-0.16**	**-0.50**	**-1.00**	**-1.00**	**-0.50**	**-0.75**
Actual / Futures curve	*TTF (EUR/MWh)*	*41.47*	*34.64*	*46.78*	*35.60*	*32.97*	*30.09*	*36.36*	*40.03*	*45.67*	*44.37*	*43.93*	*43.50*	*42.15*	*33.49*	*32.22*	*31.97*	*34.96*
	NBP (GBp/Therm)	*102.56*	*84.92*	*114.74*	*85.16*	*80.57*	*78.03*	*89.63*	*100.85*	*111.96*	*105.62*	*110.03*	*107.12*	*107.99*	*81.64*	*76.80*	*80.19*	*86.66*
	HH ($/MMBtu)	**2.72**	**2.33**	**3.60**	**3.69**	**3.29**	**3.52**	**3.52**	**4.02**	**2.86**	**3.25**	**3.18**	**3.33**	**4.01**	**2.96**	**3.16**	**3.37**	**3.16**
	JKM ($/MMBtu)	**14.47**	**11.89**	**14.03**	**12.37**	**11.84**	**10.85**	**12.27**	**13.21**	**17.60**	**16.07**	**15.43**	**15.58**	**14.56**	**11.66**	**11.56**	**11.60**	**11.61**
	TTF ($/MMBtu)	**13.13**	**10.97**	**14.43**	**11.84**	**11.30**	**10.26**	**11.96**	**13.73**	**15.55**	**14.88**	**14.73**	**14.72**	**14.13**	**11.23**	**10.80**	**10.72**	**11.72**
	NBP ($/MMBtu)	**12.74**	**10.84**	**14.10**	**11.28**	**11.00**	**10.61**	**11.74**	**13.61**	**15.01**	**14.14**	**14.73**	**14.37**	**14.46**	**10.93**	**10.28**	**10.74**	**11.60**
	TTF - JKM spread ($/MMBtu)	**-1.34**	**-0.91**	**0.40**	**-0.53**	**-0.55**	**-0.58**	**-0.31**	**0.52**	**-2.05**	**-1.19**	**-0.70**	**-0.86**	**-0.42**	**-0.43**	**-0.76**	**-0.87**	**0.11**

Source: Bloomberg Finance L.P., J.P. Morgan Commodities Research.

1H26E earnings preview

Table 3: 1H26E earnings preview

	Profit (RC mn) 1H25	Profit (RC mn) 1H26E	Profit (RC mn) YoY%	Retail gas volume growth (%)	Dollar margin (Rmb/m3)	New connections (mn households)
CR Gas	2,403	2,383	-0.8%	0.2%	0.54	0.66
ENN Energy*	3,223	3,003	-6.8%	0.1%	0.53	0.55
ENN NG*	2,736	2,482	-9.3%			
HKCG*	3,084	3,259	5.7%	0.3%	0.53	0.55
Kunlun	3,161	2,982	-5.6%	0.2%	0.43	0.35

Source: Companies' 1H25 results announcements/presentations, J.P. Morgan estimates.*Core profit is used, attributable profit for other companies. Note that ENN NG disclosed core profit in 1H25 and switched to "operating profit" since FY25. RC = Reporting Currency

ENN Energy: We forecast ENN Energy's 1H26 core earnings to drop by ~7% yoy to ~Rmb 3.0bn. We expect almost flattish retail gas volume and a slight decline in gas margin, while the company's earnings are likely to be dragged by lower new connections and a single-digit decline in integrated energy and value-added services businesses. Higher trading profits yoy from the LNG business could partly offset other operational weakness, however.

CR Gas: We forecast CR Gas's 1H26 earnings to drop by ~1% yoy to ~HK$2.4bn due to a decline in new connections and lukewarm momentum for other segments (limited volume growth and margin expansion). This could be partly offset by CNY appreciation (as reporting currency for CR Gas is in HKD).

Kunlun: We forecast Kunlun's 1H26 earnings to drop by ~6% yoy to ~Rmb 3.0bn, as we expect flattish retail gas volumes yoy and a slight decline in gas margin, and lower utilization for the LNG terminals yoy.

ENN Natural Gas: We forecast ENN NG's 1H26 core operating profit to fall ~9% yoy to ~Rmb2.5bn, mainly due to weaker earnings from the city gas business (through ENN Energy) and the LNG terminal. That said, we expect the direct gas sales business to deliver a higher contribution, driven by elevated global gas prices and incremental earnings from the new LNG contract.

HKCG: We forecast HKCG's core earnings to grow by ~6% yoy in 1H26 to HK$3.3bn. While we expect the mainland city gas business to be lukewarm (flattish volume growth, a slight decline in gas margin and a decline in new connections), these are likely to be more than offset by the strength in the biofuel associate on elevated oil prices.

Earnings and PT changes

Table 4: Earnings and PT changes

	Previous			Current			Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
CR Gas (HK$ mn)									
Revenue	103,877	107,466	109,827	103,437	104,170	106,179	-0.4%	-3.1%	-3.3%
Gross profit	17,781	18,493	18,870	17,420	17,522	17,727	-2.0%	-5.3%	-6.1%
Attributable profit	3,585	4,016	4,392	3,556	3,665	3,800	-0.8%	-8.7%	-13.5%
PT (HK$/sh)			**18.5**			**16.5**			**-10.8%**
Rating			**N**			**N**			
ENN Energy (Rmb mn)									
Revenue	114,407	118,658	116,109	115,072	115,507	117,125	0.6%	-2.7%	0.9%
Gross profit	13,137	13,434	13,279	12,766	12,626	12,686	-2.8%	-6.0%	-4.5%
Attributable profit	6,001	6,163	6,305	5,679	5,761	5,781	-5.4%	-6.5%	-8.3%
PT (HK$/sh)			**68.0**			**57.0**			**-16.2%**
Rating			**OW**			**OW**			
ENN NG (Rmb mn)									
Revenue	140,648	149,700	152,936	140,637	146,152	153,319	0.0%	-2.4%	0.3%
Gross profit	19,358	22,064	23,355	18,644	20,870	22,139	-3.7%	-5.4%	-5.2%
Attributable profit	5,337	6,624	7,259	5,197	6,313	6,962	-2.6%	-4.7%	-4.1%
PT (Rmb/sh)			**25.0**			**21.0**			**-16.0%**
Rating			**OW**			**OW**			
Kunlun Energy (Rmb mn)									
Revenue	210,168	216,953	224,258	210,048	215,756	222,118	-0.1%	-0.6%	-1.0%
Gross profit	25,043	25,678	26,441	24,014	24,523	25,213	-4.1%	-4.5%	-4.6%
Attributable profit	5,788	5,961	6,185	5,391	5,596	5,808	-6.9%	-6.1%	-6.1%
PT (HK$/sh)			**8.5**			**7.6**			**-10.6%**
Rating			**OW**			**OW**			

Source: J.P. Morgan estimates.

ENN Energy: We trim our 26-28E earnings estimates by ~7% on average to reflect lower assumptions on gas margin/volume growth, and also revenue growth for the integrated energy/value-added services segments to reflect lukewarm macro momentum and elevated gas prices. We also lower our valuation multiple from ~10x to ~9x to reflect the execution issue highlighted by management on the proposed privatization (see note). We roll forward our PT from Dec-26 to Jun-27 and lower it from HK$68 to HK$57 to reflect the above-mentioned drivers. Maintain OW on valuation (~7% yield).

CR Gas: We trim our 26-28E earnings estimates by ~8% on average to reflect lower assumptions on gas margin/volume growth to reflect lukewarm macro momentum and elevated gas prices. We roll forward our PT from Dec-26 to Jun-27 and lower it from HK$18.5 to HK$16.5 to reflect the above-mentioned drivers.

Kunlun: We trim our 26-28E earnings estimates by 6-7% to reflect lower assumptions on gas margin/volume growth on the back of lukewarm macro momentum and elevated gas prices. We lower assumptions on utilizations for the LNG terminals to reflect headwinds from elevated gas prices. We also lower our valuation multiple from ~11x to ~10x to reflect the weaker earnings outlook. We roll forward our PT from Dec-26 to Jun-27 and lower it from HK$8.5 to HK$7.6 to reflect the above-mentioned drivers.

ENN Natural Gas: We trim our 26-28E earnings estimates by 4% on average to reflect lower assumptions on the city gas business (through ENN Energy) and lower profit contribution from the LNG terminal. We lower the margin for overseas direct gas sales in 2027-28E considering the moderation in global gas prices. We also lower our P/E multiple applied to the engineering business from 10x to 5x and cut the premium applied to ENN Energy's NAV to reflect the execution issue highlighted by management about the proposed privatization. We roll forward our PT from Dec-26 to Jun-27 and lower it from Rmb 25 to Rmb 21 to reflect the above-mentioned drivers. Maintain OW.

China Resources Gas

Trim earnings & PT to reflect lower gas margin/volume growth assumptions

We trim our 26-28E earnings estimates by ~8% on average to reflect lower assumptions on gas margin/volume growth to reflect lukewarm macro momentum and elevated gas prices. We roll forward our PT from Dec-26 to Jun-27 and lower it from HK$18.5 to HK$16.5 to reflect the above-mentioned drivers.

Neutral

1193.HK,1193 HK

Price (16 Jul 26): HK$15.56

▼ **Price Target (Jun-27): HK$16.50**
Prior (Dec-26): HK$18.50

China

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Key Changes (FYE Dec)

	Prev	Cur	Δ
EPS (Basic) - 27E (HK$)	1.75	1.60	-8.7%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	24	29	18	26	40
Growth	87	86	76	71	51
Momentum	85	92	86	64	56
Quality	52	47	33	31	14
Low Vol	33	44	53	46	17
ESGQ	21	19	12	3	4

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Price Performance

	YTD	1m	3m	12m
Abs	-31.2%	-5.7%	-17.7%	-23.0%
Rel	-30.6%	0.4%	-9.5%	-18.5%

Company Data

Shares O/S (mn)	2,314
52-week range (HK$)	23.38-14.53
Market cap ($ mn)	4,593
Exchange rate	7.84
Free float (%)	38.5%
3M ADV (mn)	4.10
3M ADV ($ mn)	8.8
Volatility (90 Day)	20
Index	HSCCI
BBG ANR (Buy | Hold | Sell)	8|13|1

Key Metrics (FYE Dec)

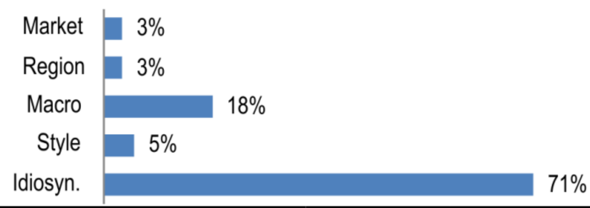
HK$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	97,733	103,437	104,170	106,179
Adj. EBITDA	11,023	11,194	11,535	11,915
Adj. EBIT	6,979	7,055	7,226	7,434
Adj. net income	3,547	3,556	3,665	3,800
EPS (Basic)	1.55	1.55	1.60	1.66
BBG EPS	1.67	1.59	1.66	1.77
Cashflow from operations	6,575	9,040	9,279	9,832
FCFF	3,837	5,862	6,075	6,595
Margins and Growth				
Revenue Growth Y/Y (%)	(4.8%)	5.8%	0.7%	1.9%
EBITDA margin	11.3%	10.8%	11.1%	11.2%
EBITDA Growth Y/Y (%)	(3.2%)	1.5%	3.1%	3.3%
EBIT margin	7.1%	6.8%	6.9%	7.0%
Net margin	3.6%	3.4%	3.5%	3.6%
EPS growth (%)	(14.0%)	0.3%	3.1%	3.7%
Ratios				
Adj. tax rate	26.0%	25.0%	25.0%	25.0%
Interest cover	17.3	17.1	18.6	20.6
Net debt/Equity	0.2	0.2	0.1	0.1
Net debt/EBITDA	1.5	1.1	0.8	0.5
ROCE	7.9%	7.7%	7.9%	8.1%
ROE	8.3%	7.9%	7.9%	7.9%
Valuation				
FCFF yield	10.8%	16.5%	17.1%	18.5%
Dividend yield	6.1%	6.1%	6.1%	6.3%
EV/Revenue	0.8	0.7	0.7	0.7
EV/EBITDA	6.8	6.6	6.2	5.8
P/E	10.0	10.0	9.7	9.4

Summary Investment Thesis and Valuation

China Resources Gas is the city gas distribution arm of the state-owned enterprise China Resources Group. The company has 275 city gas projects and >60mn residential customers and supplies >40 bcm of natural gas annually, as of FY25. We have a Neutral rating on the company given lackluster gas volume growth, a decline in new connections and modest growth in comprehensive services revenue.

Our Jun-27 PT of HK$16.5/sh is based on ~10x FY27-28E P/E, ~1SD below historical average to reflect lower earnings growth vs historical levels. Our PT implies 0.8x P/B and 5.8% dividend yield in FY27E.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.23	0.25
Region: China	0.24	0.22
Macro:		
Generic 1st 'CO' Future	-0.28	-0.35
JPM China A-shares Sentiment	0.19	0.24
JP Morgan EMBI Global Spread	-0.21	-0.19
Quant Styles:		
Size	-0.18	-0.20
DivYld	0.03	0.17
Value	-0.02	0.15

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

China Resources Gas Group Limited *(Neutral; Price Target: HK$16.50)*

Investment Thesis

China Resources Gas is the city gas distribution arm of the state-owned enterprise China Resources Group. The company has 275 city gas projects and >60mn residential customers and supplies >40 bcm of natural gas annually, as of FY25. We have a Neutral rating on the company given lackluster gas volume growth, a decline in new connections and modest growth in comprehensive services revenue.

Valuation

Our Jun-27 PT of HK$16.5/sh is based on ~10x FY27-28E P/E, ~1SD below historical average to reflect lower earnings growth vs historical levels. Our PT implies 0.8x P/B and a 5.8% dividend yield in FY27E.

Risks to Rating and Price Target

Upside risks to our rating and price target include: 1) stronger-than-expected property sales; 2) lower-than-expected LNG price; 3) a stronger-than-expected pick-up in gas volume; and 4) lower-than-expected expenses.

Downside risks to our rating and price target include: 1) weaker-than-expected property sales; 2) higher-than-expected LNG price; 3) a weaker-than-expected pick-up in gas volume; and 4) higher-than-expected expenses.

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China Resources Gas: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**102,676**	**97,733**	**103,437**	**104,170**	**106,179**
COGS	(84,418)	(80,313)	(86,017)	(86,648)	(88,452)
Gross profit	**18,258**	**17,420**	**17,420**	**17,522**	**17,727**
SG&A	(7,993)	(7,444)	(7,445)	(7,286)	(7,178)
Adj. EBITDA	**11,393**	**11,023**	**11,194**	**11,535**	**11,915**
D&A	(3,654)	(4,045)	(4,139)	(4,310)	(4,481)
Adj. EBIT	**7,738**	**6,979**	**7,055**	**7,226**	**7,434**
Net Interest	(740)	(639)	(656)	(621)	(578)
Adj. PBT	**7,746**	**6,891**	**6,774**	**6,981**	**7,237**
Tax	(1,998)	(1,794)	(1,693)	(1,745)	(1,809)
Minority Interest	(1,660)	(1,551)	(1,524)	(1,571)	(1,628)
Adj. Net Income	**4,088**	**3,547**	**3,556**	**3,665**	**3,800**
Reported EPS	1.80	1.55	1.55	1.60	1.66
Adj. EPS	**1.80**	**1.55**	**1.55**	**1.60**	**1.66**
DPS	**0.95**	**0.95**	**0.95**	**0.95**	**0.98**
Payout ratio	52.7%	61.3%	61.1%	59.3%	59.3%
Shares outstanding	2,268	2,289	2,289	2,289	2,289

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**7,002**	**6,575**	**9,040**	**9,279**	**9,832**
o/w Depreciation & amortization	3,654	4,045	4,139	4,310	4,481
o/w Changes in working capital	(1,936)	(2,208)	(179)	(267)	(77)
Cash flow from investing activities	**(2,228)**	**(3,590)**	**(3,670)**	**(3,670)**	**(3,670)**
o/w Capital expenditure	(4,198)	(3,211)	(3,670)	(3,670)	(3,670)
as % of sales	*4.1%*	*3.3%*	*3.5%*	*3.5%*	*3.5%*
Cash flow from financing activities	**(7,428)**	**(3,674)**	**(2,581)**	**(3,389)**	**(3,622)**
o/w Dividends paid	(2,851)	(2,278)	(2,175)	(2,175)	(2,254)
o/w Shares issued/(repurchased)	0	0	0	0	0
o/w Net debt issued/(repaid)	774	745	(406)	(1,215)	(1,368)
Net change in cash	**(2,880)**	**(404)**	**2,790**	**2,220**	**2,540**
Adj. Free cash flow to firm	**3,354**	**3,837**	**5,862**	**6,075**	**6,595**
y/y Growth	*(41.7%)*	*14.4%*	*52.8%*	*3.6%*	*8.6%*

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	7,531	7,693	10,482	12,702	15,242
Accounts receivable	17,674	18,146	18,813	18,804	19,021
Inventories	1,404	1,104	1,343	1,353	1,381
Other current assets	2,860	2,797	2,797	2,797	2,797
Current assets	**29,468**	**29,739**	**33,435**	**35,656**	**38,441**
PP&E	62,933	66,207	65,738	65,099	64,288
LT investments	26,456	27,142	27,142	27,142	27,142
Other non current assets	13,625	13,319	13,319	13,319	13,319
Total assets	**132,483**	**136,407**	**139,634**	**141,215**	**143,189**
Short term borrowings	13,719	15,476	15,211	14,418	13,525
Payables	28,872	30,643	31,871	32,105	32,773
Other short term liabilities	11,247	8,549	8,049	7,549	7,049
Current liabilities	**53,837**	**54,668**	**55,130**	**54,071**	**53,346**
Long-term debt	8,742	8,225	8,084	7,662	7,187
Other long term liabilities	5,932	5,486	5,486	5,486	5,486
Total liabilities	**68,512**	**68,379**	**68,700**	**67,220**	**66,020**
Shareholders' equity	41,172	44,176	45,558	47,049	48,594
Minority interests	22,799	23,852	25,376	26,947	28,575
Total liabilities & equity	**132,483**	**136,407**	**139,634**	**141,215**	**143,189**
BVPS	**17.79**	**19.09**	**19.69**	**20.33**	**21.00**
y/y Growth	*1.0%*	*7.3%*	*3.1%*	*3.3%*	*3.3%*
Net debt/(cash)	14,930	16,008	12,812	9,378	5,470

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	17.8%	17.8%	16.8%	16.8%	16.7%
EBITDA margin	11.1%	11.3%	10.8%	11.1%	11.2%
EBIT margin	7.5%	7.1%	6.8%	6.9%	7.0%
Net profit margin	4.0%	3.6%	3.4%	3.5%	3.6%
ROE	10.0%	8.3%	7.9%	7.9%	7.9%
ROA	3.0%	2.6%	2.6%	2.6%	2.7%
ROCE	9.0%	7.9%	7.7%	7.9%	8.1%
SG&A/Sales	7.8%	7.6%	7.2%	7.0%	6.8%
Net debt/Equity	0.2	0.2	0.2	0.1	0.1
Net debt/EBITDA	1.3	1.5	1.1	0.8	0.5
Sales/Assets (x)	0.8	0.7	0.7	0.7	0.7
Assets/Equity (x)	3.3	3.2	3.1	3.0	3.0
Interest cover (x)	15.4	17.3	17.1	18.6	20.6
Operating leverage	(1149.8%)	203.9%	18.8%	340.9%	149.3%
Tax rate	25.8%	26.0%	25.0%	25.0%	25.0%
Revenue y/y Growth	1.4%	(4.8%)	5.8%	0.7%	1.9%
EBITDA y/y Growth	(14.1%)	(3.2%)	1.5%	3.1%	3.3%
EPS y/y Growth	(21.7%)	(14.0%)	0.3%	3.1%	3.7%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	8.6	10.0	10.0	9.7	9.4
P/BV (x)	0.9	0.8	0.8	0.8	0.7
EV/EBITDA (x)	6.4	6.8	6.6	6.2	5.8
Dividend Yield	6.1%	6.1%	6.1%	6.1%	6.3%

Source: Company reports and J.P. Morgan estimates.
Note: HK$ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

ENN Energy

Overweight

2688.HK,2688 HK

Price (16 Jul 26): HK$42.56

▼ **Price Target (Jun-27): HK$57.00**
Prior (Dec-26): HK$68.00

China

Power Equipment and Utilities

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J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
EPS (Basic) - 26E (Rmb)	5.40	5.11	-5.4%
EPS (Basic) - 27E (Rmb)	5.55	5.18	-6.5%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	6	9	8	18	25
Growth	77	68	49	61	35
Momentum	77	51	37	41	25
Quality	36	28	17	26	10
Low Vol	25	37	57	63	20
ESGQ	4	3	5	1	3

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Trim earnings & PT to reflect lower gas margin/volume growth and IE/VAS assumptions

We trim our 26-28E earnings estimates by ~7% on average to reflect lower assumptions on gas margin/volume growth, and also revenue growth for the integrated energy/value-added services segments to reflect lukewarm macro momentum and elevated gas prices. We also lower our valuation multiple from ~10x to ~9x to reflect the execution issue highlighted by management on the proposed privatization (see note). We roll forward our PT from Dec-26 to Jun-27 and lower it from HK$68 to HK$57 to reflect the above-mentioned drivers. Maintain OW on valuation (~7% yield).

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Price Performance

	YTD	1m	3m	12m
Abs	-38.5%	-2.7%	-32.2%	-33.2%
Rel	-28.2%	-2.1%	-23.1%	-29.3%

Company Data

Shares O/S (mn)	1,132
52-week range (HK$)	73.80-40.38
Market cap ($ mn)	6,145
Exchange rate	7.84
Free float (%)	65.0%
3M ADV (mn)	4.76
3M ADV ($ mn)	30.6
Volatility (90 Day)	28
Index	MXCNX
BBG ANR (Buy | Hold | Sell)	13|3|0

Key Metrics (FYE Dec)

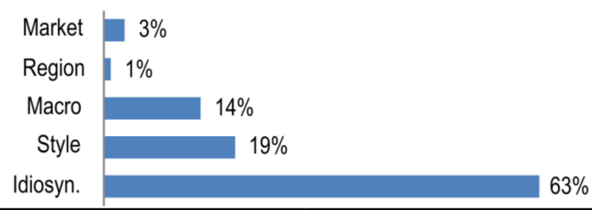
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	111,905	115,072	115,507	117,125
Adj. EBITDA	12,241	11,282	11,597	11,826
Adj. EBIT	8,783	8,320	8,374	8,351
Adj. net income	5,904	5,679	5,761	5,781
EPS (Basic)	5.31	5.11	5.18	5.20
BBG EPS	5.71	5.65	5.81	5.94
Cashflow from operations	10,433	9,899	10,114	10,323
FCFF	4,185	3,869	4,265	4,664
Margins and Growth				
Revenue Growth Y/Y (%)	1.9%	2.8%	0.4%	1.4%
EBITDA margin	10.9%	9.8%	10.0%	10.1%
EBITDA Growth Y/Y (%)	(1.0%)	(7.8%)	2.8%	2.0%
EBIT margin	7.8%	7.2%	7.3%	7.1%
Net margin	5.3%	4.9%	5.0%	4.9%
EPS growth (%)	(0.7%)	(3.8%)	1.4%	0.3%
Ratios				
Adj. tax rate	20.8%	20.8%	20.8%	20.8%
Interest cover	20.6	20.3	21.8	22.6
Net debt/Equity	0.2	0.2	0.2	0.1
Net debt/EBITDA	0.9	0.9	0.8	0.7
ROCE	10.6%	9.7%	9.4%	9.0%
ROE	12.7%	11.5%	11.1%	10.5%
Valuation				
FCFF yield	10.2%	9.5%	10.4%	11.4%
Dividend yield	7.4%	7.0%	7.1%	7.1%
EV/Revenue	0.6	0.6	0.6	0.6
EV/EBITDA	5.4	5.8	5.7	5.5
P/E	6.9	7.2	7.1	7.1

Summary Investment Thesis and Valuation

ENN Energy distributes natural gas in China, with >260 city-gas projects and >30mn connected households as of Dec-25. The group focuses on piped-gas project cities with strong industrial and commercial backgrounds. We are OW on ENN Energy as we see value at the current level and support from its LNG contracts amid higher gas costs.

Our Jun-27 PT of HK$57/sh is based on ~9x FY27-28E P/E on core EPS, ~1SD below the historical average to reflect lower earnings growth than in the past. Our PT implies ~1x P/BV and a 5.3% dividend yield in FY27E.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.27	0.26
Region: China	0.05	0.15
Macro:		
JPM Forecast Revision EM	0.15	0.25
JP Morgan EMBI Global Spread	-0.14	-0.20
Markit EM Composite PMI SA	0.09	0.14
Quant Styles:		
Value	0.26	0.34
Quality	0.47	0.34
LowVol	0.14	0.27

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

ENN Energy Holdings Limited *(Overweight; Price Target: HK$57.00)*

Investment Thesis

ENN Energy distributes natural gas in China, with >260 city-gas projects and >30mn connected households as of Dec-25. The group focuses on piped-gas project cities with strong industrial and commercial backgrounds. We are OW on ENN Energy with its share price being supported by its potential privatization.

Valuation

Our Jun-27 PT of HK$57/sh is based on ~9x FY27-28E P/E on core EPS, ~1SD below the historical average to reflect lower earnings growth than in the past. Our PT implies ~1x P/BV and a 5.3% dividend yield in FY27E.

Risks to Rating and Price Target

Downside risks include lower-than-expected gas sales/new household connections, integrated energy (IE)/valued-added services (VAS) growth, or gross margins.

ENN Energy: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**109,853**	**111,905**	**115,072**	**115,507**	**117,125**
COGS	(96,448)	(98,613)	(102,306)	(102,881)	(104,439)
Gross profit	**13,405**	**13,292**	**12,766**	**12,626**	**12,686**
SG&A	(2,085)	(1,720)	(2,103)	(1,648)	(1,479)
Adj. EBITDA	**12,366**	**12,241**	**11,282**	**11,597**	**11,826**
D&A	(3,106)	(3,458)	(2,962)	(3,222)	(3,474)
Adj. EBIT	**9,260**	**8,783**	**8,320**	**8,374**	**8,351**
Net Interest	(733)	(593)	(555)	(532)	(523)
Adj. PBT	**8,797**	**8,614**	**8,286**	**8,406**	**8,435**
Tax	(1,921)	(1,791)	(1,723)	(1,748)	(1,754)
Minority Interest	(889)	(919)	(884)	(897)	(900)
Adj. Net Income	**5,987**	**5,904**	**5,679**	**5,761**	**5,781**
Reported EPS	5.35	5.31	5.11	5.18	5.20
Adj. EPS	**5.35**	**5.31**	**5.11**	**5.18**	**5.20**
DPS	**2.78**	**2.71**	**2.59**	**2.59**	**2.60**
Payout ratio	52.0%	51.0%	50.7%	50.0%	50.0%
Shares outstanding	1,119	1,111	1,111	1,111	1,111

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	7,693	8,064	8,405	9,002	9,817
Accounts receivable	9,828	9,040	9,348	9,239	9,369
Inventories	1,513	1,590	1,610	1,619	1,643
Other current assets	3,150	3,939	3,970	3,959	3,972
Current assets	**22,184**	**22,633**	**23,332**	**23,819**	**24,801**
PP&E	56,150	58,441	61,949	64,997	67,596
LT investments	10,376	10,751	10,751	10,751	10,751
Other non current assets	14,510	14,193	14,193	14,193	14,193
Total assets	**103,220**	**106,018**	**110,225**	**113,759**	**117,341**
Short term borrowings	6,464	8,785	8,713	8,570	8,344
Payables	8,203	8,576	8,871	8,921	9,056
Other short term liabilities	17,835	18,211	18,648	18,721	18,921
Current liabilities	**32,502**	**35,572**	**36,232**	**36,212**	**36,321**
Long-term debt	13,068	10,356	10,271	10,103	9,836
Other long term liabilities	6,574	6,015	6,015	6,015	6,015
Total liabilities	**52,144**	**51,943**	**52,518**	**52,330**	**52,173**
Shareholders' equity	45,101	47,825	50,573	53,398	56,238
Minority interests	5,975	6,250	7,134	8,031	8,931
Total liabilities & equity	**103,220**	**106,018**	**110,225**	**113,759**	**117,341**
BVPS	**39.87**	**42.25**	**44.68**	**47.18**	**49.69**
y/y Growth	*5.7%*	*6.0%*	*5.7%*	*5.6%*	*5.3%*
Net debt/(cash)	11,839	11,077	10,579	9,671	8,363

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**10,294**	**10,433**	**9,899**	**10,114**	**10,323**
o/w Depreciation & amortization	1,840	2,064	2,962	3,222	3,474
o/w Changes in working capital	665	580	374	234	168
Cash flow from investing activities	**(4,438)**	**(5,743)**	**(6,470)**	**(6,270)**	**(6,074)**
o/w Capital expenditure	(6,177)	(6,718)	(6,470)	(6,270)	(6,074)
as % of sales	*5.6%*	*6.0%*	*5.6%*	*5.4%*	*5.2%*
Cash flow from financing activities	**(7,858)**	**(4,300)**	**(3,089)**	**(3,247)**	**(3,434)**
o/w Dividends paid	(3,015)	(3,059)	(2,932)	(2,936)	(2,941)
o/w Shares issued/(repurchased)	-	-	-	-	-
o/w Net debt issued/(repaid)	(2,642)	(425)	(157)	(311)	(493)
Net change in cash	**(1,996)**	**371**	**341**	**597**	**816**
Adj. Free cash flow to firm	**4,690**	**4,185**	**3,869**	**4,265**	**4,664**
y/y Growth	*25.9%*	*(10.8%)*	*(7.5%)*	*10.2%*	*9.3%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	12.2%	11.9%	11.1%	10.9%	10.8%
EBITDA margin	11.3%	10.9%	9.8%	10.0%	10.1%
EBIT margin	8.4%	7.8%	7.2%	7.3%	7.1%
Net profit margin	5.5%	5.3%	4.9%	5.0%	4.9%
ROE	13.6%	12.7%	11.5%	11.1%	10.5%
ROA	5.8%	5.6%	5.3%	5.1%	5.0%
ROCE	11.2%	10.6%	9.7%	9.4%	9.0%
SG&A/Sales	1.9%	1.5%	1.8%	1.4%	1.3%
Net debt/Equity	0.2	0.2	0.2	0.2	0.1
Net debt/EBITDA	1.0	0.9	0.9	0.8	0.7
Sales/Assets (x)	1.1	1.1	1.1	1.0	1.0
Assets/Equity (x)	2.4	2.3	2.2	2.2	2.1
Interest cover (x)	16.9	20.6	20.3	21.8	22.6
Operating leverage	222.4%	(275.8%)	(186.4%)	174.1%	(19.7%)
Tax rate	21.8%	20.8%	20.8%	20.8%	20.8%
Revenue y/y Growth	(3.5%)	1.9%	2.8%	0.4%	1.4%
EBITDA y/y Growth	(4.0%)	(1.0%)	(7.8%)	2.8%	2.0%
EPS y/y Growth	(11.5%)	(0.7%)	(3.8%)	1.4%	0.3%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	6.9	6.9	7.2	7.1	7.1
P/BV (x)	0.9	0.9	0.8	0.8	0.7
EV/EBITDA (x)	5.3	5.4	5.8	5.7	5.5
Dividend Yield	7.6%	7.4%	7.0%	7.1%	7.1%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

ENN Natural Gas – A

Overweight

600803.SS,600803 CH

Price (16 Jul 26): Rmb16.30

▼ **Price Target (Jun-27): Rmb21.00**
Prior (Dec-26): Rmb25.00

China

Power Equipment and Utilities

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J.P. Morgan Securities (Asia Pacific) Limited/
J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (Rmb)	2.14	2.04	-4.7%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	26	25	25	24	24
Growth	78	82	87	65	34
Momentum	32	74	59	33	26
Quality	33	41	44	17	14
Low Vol	20	15	18	39	31
ESGQ	18	1	1	6	-

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Trim earnings & PT to reflect lower assumptions on ENN Energy, LNG terminal and gas margin

We trim our 26-28E earnings estimates by 4% on average to reflect lower assumptions on the city gas business (through ENN Energy) and lower profit contribution from the LNG terminal. We lower the margin for overseas direct gas sales in 2027-28E considering the moderation in global gas prices. We also lower our P/E multiple applied to the engineering business from 10x to 5x and cut the premium applied to ENN Energy's NAV to reflect the execution issue highlighted by management about the proposed privatization. We roll forward our PT from Dec-26 to Jun-27 and lower it from Rmb 25 to Rmb 21 to reflect the above-mentioned drivers. Maintain OW.

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Price Performance

	YTD	1m	3m	12m
Abs	-21.5%	-3.5%	-22.2%	-16.9%
Rel	-19.3%	1.6%	-17.9%	-27.7%

Company Data

Shares O/S (mn)	3,096
52-week range (Rmb)	24.55-15.14
Market cap ($ mn)	7,457
Exchange rate	6.77
Free float (%)	22.5%
3M ADV (mn)	9.56
3M ADV ($ mn)	26.4
Volatility (90 Day)	36
Index	SHASHR
BBG ANR (Buy | Hold | Sell)	11|0|0

Key Metrics (FYE Dec)

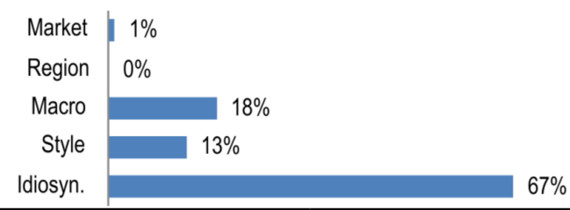
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	131,507	140,637	146,152	153,319
Adj. EBITDA	16,078	15,482	17,686	18,978
Adj. EBIT	11,733	12,099	14,028	15,053
Adj. net income	4,681	5,197	6,313	6,962
Adj. EPS	1.51	1.68	2.04	2.25
BBG EPS	1.68	1.75	1.96	2.17
Cashflow from operations	14,267	14,385	16,573	17,883
FCFF	6,029	7,415	9,803	11,309
Margins and Growth				
Revenue Growth Y/Y (%)	(3.2%)	6.9%	3.9%	4.9%
EBITDA margin	12.2%	11.0%	12.1%	12.4%
EBITDA Growth Y/Y (%)	(1.4%)	(3.7%)	14.2%	7.3%
EBIT margin	8.9%	8.6%	9.6%	9.8%
Net margin	3.6%	3.7%	4.3%	4.5%
Adj. EPS growth	3.5%	11.0%	21.5%	10.3%
Ratios				
Adj. tax rate	14.7%	14.7%	14.7%	14.7%
Interest cover	30.2	27.8	31.8	38.4
Net debt/Equity	0.2	0.2	0.1	0.0
Net debt/EBITDA	0.8	0.8	0.5	0.2
ROCE	17.8%	17.1%	18.6%	19.1%
ROE	19.5%	20.2%	22.2%	21.9%
Valuation				
FCFF yield	11.9%	14.7%	19.4%	22.4%
Dividend yield	7.0%	5.9%	6.3%	6.9%
EV/Revenue	0.8	0.7	0.7	0.7
EV/EBITDA	6.4	6.8	6.0	5.6
Adj. P/E	10.8	9.7	8.0	7.2

Summary Investment Thesis and Valuation

ENN Natural Gas consolidates ENN Energy's (2688 HK) financials and is the largest city-gas distributor (by gas sales volume) listed on the A-share market. We have an OW rating on the company, as it is a major beneficiary of elevated global gas prices, given its upstream LNG exposure.

We value ENN Natural Gas using a sum-of-the-parts valuation methodology, with a Jun-27 PT of Rmb 21/sh. We value the city-gas business by anchoring it to our ENN Energy PT of HK$57. We value other segments based on P/E or P/B multiples, with reference to the peer averages.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.21	-0.10
Region: China	0.08	-0.01
Macro:		
Citi Economic Surprise - EM	0.32	0.28
US 10 Year Yield	0.17	0.21
HSI Volatility Index	-0.23	-0.20
Quant Styles:		
Quality	0.47	0.34
Value	0.33	0.21
LowVol	0.21	0.17

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

ENN Natural Gas – A *(Overweight; Price Target: Rmb21.00)*

Investment Thesis

ENN Natural Gas consolidates ENN Energy's (2688 HK) financials and is the largest city-gas distributor (by gas sales volume) listed on the A-share market. We have an OW rating on the company, as it is a major beneficiary of elevated global gas prices globally and has upstream LNG resources with potential for better trading profits.

Valuation

We value ENN Natural Gas using a sum-of-the-parts valuation methodology, with a Jun-27 PT of Rmb 21/sh. We value the city-gas business by anchoring it to our ENN Energy PT of HK$57. We value other segments based on P/E or P/B multiples, with reference to the peer averages.

ENN Natural Gas: SOTP valuation

Entity breakdown	Methodology	Value (Rmb)
34.7% stake in ENN Energy	JPM PT of HKD57/shr	6.3
Energy Engineering	5x P/E	0.2
Natural Gas Direct Sales	7.5x P/E	11.5
Zhoushan LNG terminal	1x P/B	3.3
Total		**21**

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks include: (1) lower-than-expected gas sales volume and ASP; (2) lower-than-expected dollar margin on gas sales; (3) lower-than-expected utilization of the LNG terminal; and (4) weaker-than-expected engineering business.

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ENN Natural Gas – A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**135,910**	**131,507**	**140,637**	**146,152**	**153,319**
COGS	(116,912)	(113,161)	(121,993)	(125,282)	(131,180)
Gross profit	**18,998**	**18,346**	**18,644**	**20,870**	**22,139**
SG&A		-	-	-	-
Adj. EBITDA	**16,315**	**16,078**	**15,482**	**17,686**	**18,978**
D&A	(4,025)	(4,345)	(3,383)	(3,658)	(3,925)
Adj. EBIT	**12,290**	**11,733**	**12,099**	**14,028**	**15,053**
Net Interest	(733)	(532)	(557)	(556)	(495)
Adj. PBT	**12,636**	**11,711**	**12,465**	**14,520**	**15,699**
Tax	(2,692)	(1,726)	(1,837)	(2,140)	(2,314)
Minority Interest	(5,451)	(5,303)	(5,431)	(6,067)	(6,423)
Adj. Net Income	**4,493**	**4,681**	**5,197**	**6,313**	**6,962**
Reported EPS	1.46	1.51	1.68	2.04	2.25
Adj. EPS	**1.46**	**1.51**	**1.68**	**2.04**	**2.25**
DPS	**1.03**	**1.14**	**0.96**	**1.02**	**1.12**
Payout ratio	70.5%	75.4%	57.2%	50.0%	50.0%
Shares outstanding	3,078	3,097	3,096	3,096	3,096

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**14,162**	**14,267**	**14,385**	**16,573**	**17,883**
o/w Depreciation & amortization	4,025	4,345	3,383	3,658	3,925
o/w Changes in working capital	(586)	(84)	(183)	(21)	79
Cash flow from investing activities	**(6,906)**	**(5,963)**	**(7,594)**	**(7,469)**	**(7,315)**
o/w Capital expenditure	(8,374)	(8,238)	(6,970)	(6,770)	(6,574)
as % of sales	*6.2%*	*6.3%*	*5.0%*	*4.6%*	*4.3%*
Cash flow from financing activities	**(10,720)**	**(4,965)**	**(3,105)**	**(5,664)**	**(6,379)**
o/w Dividends paid	(6,773)	(7,701)	(5,443)	(5,629)	(5,896)
o/w Shares issued/(repurchased)	122	445	0	0	0
o/w Net debt issued/(repaid)	21,360	19,230	2,339	(35)	(483)
Net change in cash	**(3,413)**	**3,203**	**3,686**	**3,440**	**4,189**
Adj. Free cash flow to firm	**5,788**	**6,029**	**7,415**	**9,803**	**11,309**
y/y Growth	*28.6%*	*4.2%*	*23.0%*	*32.2%*	*15.4%*

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	16,689	19,737	23,423	26,863	31,052
Accounts receivable	6,366	4,840	5,992	6,227	6,532
Inventories	2,325	2,456	2,577	2,647	2,771
Other current assets	11,342	11,896	11,896	11,896	11,896
Current assets	**36,723**	**38,928**	**43,888**	**47,633**	**52,252**
PP&E	64,181	63,509	67,096	70,208	72,857
LT investments	7,794	8,043	8,668	9,367	10,108
Other non current assets	23,790	24,804	24,804	24,804	24,804
Total assets	**132,488**	**135,284**	**144,456**	**152,011**	**160,020**
Short term borrowings	10,629	20,090	21,497	21,475	21,185
Payables	10,086	9,428	10,518	10,802	11,311
Other short term liabilities	22,658	22,215	22,215	22,215	22,215
Current liabilities	**43,373**	**51,733**	**54,230**	**54,493**	**54,710**
Long-term debt	20,389	13,303	14,235	14,221	14,028
Other long term liabilities	8,181	6,951	6,951	6,951	6,951
Total liabilities	**71,944**	**71,987**	**75,416**	**75,665**	**75,690**
Shareholders' equity	23,467	24,647	26,871	30,027	33,508
Minority interests	37,076	38,650	42,168	46,319	50,822
Total liabilities & equity	**132,488**	**135,284**	**144,456**	**152,011**	**160,020**
BVPS	**7.63**	**7.96**	**8.68**	**9.70**	**10.82**
y/y Growth	*(0.1%)*	*4.4%*	*9.0%*	*11.8%*	*11.6%*
Net debt/(cash)	14,330	13,656	12,309	8,834	4,161

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	14.0%	14.0%	13.3%	14.3%	14.4%
EBITDA margin	12.0%	12.2%	11.0%	12.1%	12.4%
EBIT margin	9.0%	8.9%	8.6%	9.6%	9.8%
Net profit margin	3.3%	3.6%	3.7%	4.3%	4.5%
ROE	19.1%	19.5%	20.2%	22.2%	21.9%
ROA	3.4%	3.5%	3.7%	4.3%	4.5%
ROCE	17.3%	17.8%	17.1%	18.6%	19.1%
SG&A/Sales	-	-	-	-	-
Net debt/Equity	0.2	0.2	0.2	0.1	0.0
Net debt/EBITDA	0.9	0.8	0.8	0.5	0.2
Sales/Assets (x)	1.0	1.0	1.0	1.0	1.0
Assets/Equity (x)	5.7	5.6	5.4	5.2	4.9
Interest cover (x)	22.3	30.2	27.8	31.8	38.4
Operating leverage	97.3%	139.7%	44.9%	406.6%	149.0%
Tax rate	21.3%	14.7%	14.7%	14.7%	14.7%
Revenue y/y Growth	(5.5%)	(3.2%)	6.9%	3.9%	4.9%
EBITDA y/y Growth	(5.1%)	(1.4%)	(3.7%)	14.2%	7.3%
EPS y/y Growth	(36.2%)	3.5%	11.0%	21.5%	10.3%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	11.2	10.8	9.7	8.0	7.2
P/BV (x)	2.1	2.0	1.9	1.7	1.5
EV/EBITDA (x)	6.2	6.4	6.8	6.0	5.6
Dividend Yield	6.3%	7.0%	5.9%	6.3%	6.9%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Kunlun Energy

Trim earnings & PT to reflect lower assumptions on gas margin/volume growth and LNG terminal utilizations

We trim our 26-28E earnings estimates by 6-7% to reflect lower assumptions on gas margin/volume growth to reflect lukewarm macro momentum and elevated gas prices. We lower assumptions on the utilizations for the LNG terminals to reflect headwinds from elevated gas prices. We also lower our valuation multiple from ~11x to ~10x to reflect the weaker earnings outlook. We roll forward our PT from Dec-26 to Jun-27 and lower it from HK$8.5h to HK$7.6 to reflect the above-mentioned drivers.

Overweight

0135.HK,135 HK

Price (16 Jul 26): HK$6.77

▼ **Price Target (Jun-27): HK$7.60**
Prior (Dec-26): HK$8.50

China

Power Equipment and Utilities

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J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
EPS (Basic) - 26E (Rmb)	0.67	0.62	-6.6%
EPS (Basic) - 27E (Rmb)	0.69	0.65	-5.9%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	14	14	17	13	17
Growth	71	58	71	73	88
Momentum	62	81	61	47	19
Quality	42	23	38	37	81
Low Vol	15	20	26	57	67
ESGQ	13	4	16	1	91

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Price Performance

	YTD	1m	3m	12m
Abs	-8.9%	-0.7%	-9.5%	-12.6%
Rel	-2.2%	-1.7%	-2.9%	-6.5%

Company Data

Shares O/S (mn)	8,638
52-week range (HK$)	8.83-6.34
Market cap ($ mn)	7,460
Exchange rate	7.84
Free float (%)	43.8%
3M ADV (mn)	12.54
3M ADV ($ mn)	11.4
Volatility (90 Day)	26
Index	HSCEI
BBG ANR (Buy | Hold | Sell)	16|2|0

Key Metrics (FYE Dec)

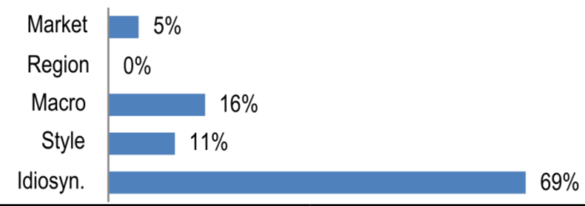
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	193,979	210,048	215,756	222,118
Adj. EBITDA	15,237	15,102	15,553	16,129
Adj. EBIT	9,964	9,810	10,063	10,436
Adj. net income	5,346	5,391	5,596	5,808
EPS (Basic)	0.62	0.62	0.65	0.67
BBG EPS	0.70	0.68	0.71	0.74
Cashflow from operations	12,430	13,537	13,238	13,789
FCFF	6,515	6,324	7,077	8,569
Margins and Growth				
Revenue Growth Y/Y (%)	3.7%	8.3%	2.7%	2.9%
EBITDA margin	7.9%	7.2%	7.2%	7.3%
EBITDA Growth Y/Y (%)	(2.1%)	(0.9%)	3.0%	3.7%
EBIT margin	5.1%	4.7%	4.7%	4.7%
Net margin	2.8%	2.6%	2.6%	2.6%
EPS growth (%)	(10.3%)	1.1%	3.8%	3.8%
Ratios				
Adj. tax rate	27.4%	27.4%	27.4%	27.4%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	8.2%	8.0%	8.0%	8.1%
ROE	8.0%	7.8%	7.8%	7.8%
Valuation				
FCFF yield	12.9%	12.5%	14.0%	17.0%
Dividend yield	5.4%	5.4%	5.5%	5.8%
EV/Revenue	0.4	0.3	0.3	0.3
EV/EBITDA	4.8	4.8	4.6	4.2
P/E	9.5	9.4	9.0	8.7

Summary Investment Thesis and Valuation

Kunlun Energy is the downstream natural gas subsidiary of CNPC. It is involved in natural gas distribution, LNG processing and terminal operations, and oil exploration and production. We are OW on Kunlun given consistent payout hikes due to its strong net cash position.

Our Jun-27 PT of HK$7.6/sh is based on ~10x FY27-28E P/E, >1SD above the historical average to reflect better earnings quality and a higher contribution from the city gas segment. Our PT implies 0.8x FY27E P/B and a 4.9% dividend yield.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.16	0.21
Region: China	-0.08	-0.03
Macro:		
Markit EM Composite PMI SA	0.29	0.25
Generic 1st 'CO' Future	-0.07	-0.24
Emerging Central Bank Rate	0.12	0.18
Quant Styles:		
Value	0.22	0.31
Growth	-0.23	-0.29
DivYld	0.15	0.28

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Kunlun Energy Company Limited *(Overweight; Price Target: HK$7.60)*

Investment Thesis

Kunlun Energy is the downstream natural gas subsidiary of CNPC. It is involved in natural gas distribution, LNG processing and terminal operations, and oil exploration and production. We are OW on Kunlun given consistent payout hikes due to its strong net cash position.

Valuation

Our Jun-27 PT of HK$7.6/sh is based on ~10x FY27-28E P/E, >1SD above the historical average to reflect better earnings quality and a higher contribution from the city gas segment. Our PT implies 0.8x FY27E P/B and a 4.9% dividend yield.

Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) lower-than-expected downstream gas sales volume; 2) lower-than-expected cost pass-through; 3) weaker-than-expected performance of the LNG plant; and 4) lower-than-expected utilization of the LNG terminal and higher-than-expected terminal fee cut.

Kunlun Energy: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**187,046**	**193,979**	**210,048**	**215,756**	**222,118**
COGS	(161,662)	(169,189)	(186,034)	(191,233)	(196,905)
Gross profit	**25,384**	**24,790**	**24,014**	**24,523**	**25,213**
SG&A	(9,321)	(9,034)	(8,911)	(8,970)	(9,084)
Adj. EBITDA	**15,559**	**15,237**	**15,102**	**15,553**	**16,129**
D&A	(5,160)	(5,273)	(5,292)	(5,491)	(5,693)
Adj. EBIT	**10,399**	**9,964**	**9,810**	**10,063**	**10,436**
Net Interest	155	45	45	112	193
Adj. PBT	**12,635**	**11,661**	**11,760**	**12,207**	**12,669**
Tax	(3,128)	(3,195)	(3,222)	(3,345)	(3,471)
Minority Interest	(3,547)	(3,120)	(3,147)	(3,266)	(3,390)
Adj. Net Income	**5,960**	**5,346**	**5,391**	**5,596**	**5,808**
Reported EPS	0.69	0.62	0.62	0.65	0.67
Adj. EPS	**0.69**	**0.62**	**0.62**	**0.65**	**0.67**
DPS	**0.32**	**0.32**	**0.32**	**0.32**	**0.34**
Payout ratio	45.9%	51.1%	50.6%	50.0%	50.0%
Shares outstanding	8,659	8,659	8,638	8,638	8,638

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	27,827	31,280	34,253	37,772	42,531
Accounts receivable	2,544	3,755	4,066	4,147	4,239
Inventories	1,131	1,037	1,140	1,172	1,207
Other current assets	25,735	22,555	22,555	22,555	22,555
Current assets	**57,237**	**58,627**	**62,014**	**65,646**	**70,532**
PP&E	66,797	65,718	67,606	68,195	67,582
LT investments		-	-	-	-
Other non current assets	19,356	19,774	20,853	22,059	23,274
Total assets	**143,390**	**144,119**	**150,473**	**155,900**	**161,388**
Short term borrowings	9,133	7,067	5,839	4,632	3,471
Payables	25,224	24,848	26,048	26,252	26,491
Other short term liabilities	1,319	1,897	1,897	1,897	1,897
Current liabilities	**35,676**	**33,812**	**33,784**	**32,781**	**31,859**
Long-term debt	14,329	13,676	14,248	14,614	14,730
Other long term liabilities	4,550	4,354	4,354	4,354	4,354
Total liabilities	**54,555**	**51,842**	**52,386**	**51,749**	**50,942**
Shareholders' equity	65,149	67,757	70,421	73,219	76,123
Minority interests	23,686	24,520	27,667	30,933	34,322
Total liabilities & equity	**143,390**	**144,119**	**150,473**	**155,900**	**161,388**
BVPS	**7.52**	**7.83**	**8.14**	**8.48**	**8.81**
y/y Growth	*2.7%*	*4.0%*	*4.1%*	*4.1%*	*4.0%*
Net debt/(cash)	(4,365)	(10,537)	(14,166)	(18,525)	(24,330)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**12,514**	**12,430**	**13,537**	**13,238**	**13,789**
o/w Depreciation & amortization	5,160	5,273	5,292	5,491	5,693
o/w Changes in working capital	(827)	(1,212)	785	91	113
Cash flow from investing activities	**(3,491)**	**(123)**	**(7,180)**	**(6,080)**	**(5,080)**
o/w Capital expenditure	(6,096)	(5,882)	(7,180)	(6,080)	(5,080)
as % of sales	*3.3%*	*3.0%*	*3.4%*	*2.8%*	*2.3%*
Cash flow from financing activities	**(8,586)**	**(8,901)**	**(3,383)**	**(3,639)**	**(3,950)**
o/w Dividends paid	(3,878)	(2,751)	(2,728)	(2,798)	(2,904)
o/w Shares issued/(repurchased)	-	-	-	-	-
o/w Net debt issued/(repaid)	(727)	(2,597)	(656)	(841)	(1,046)
Net change in cash	**437**	**3,406**	**2,973**	**3,518**	**4,759**
Adj. Free cash flow to firm	**6,301**	**6,515**	**6,324**	**7,077**	**8,569**
y/y Growth	*(32.2%)*	*3.4%*	*(2.9%)*	*11.9%*	*21.1%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	13.6%	12.8%	11.4%	11.4%	11.4%
EBITDA margin	8.3%	7.9%	7.2%	7.2%	7.3%
EBIT margin	5.6%	5.1%	4.7%	4.7%	4.7%
Net profit margin	3.2%	2.8%	2.6%	2.6%	2.6%
ROE	9.3%	8.0%	7.8%	7.8%	7.8%
ROA	4.2%	3.7%	3.7%	3.7%	3.7%
ROCE	8.9%	8.2%	8.0%	8.0%	8.1%
SG&A/Sales	5.0%	4.7%	4.2%	4.2%	4.1%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM	NM
Sales/Assets (x)	1.3	1.3	1.4	1.4	1.4
Assets/Equity (x)	2.2	2.2	2.1	2.1	2.1
Interest cover (x)	NM	NM	NM	NM	NM
Operating leverage	(116.0%)	(112.9%)	(18.6%)	94.6%	125.8%
Tax rate	24.8%	27.4%	27.4%	27.4%	27.4%
Revenue y/y Growth	5.5%	3.7%	8.3%	2.7%	2.9%
EBITDA y/y Growth	(3.3%)	(2.1%)	(0.9%)	3.0%	3.7%
EPS y/y Growth	4.9%	(10.3%)	1.1%	3.8%	3.8%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	8.5	9.5	9.4	9.0	8.7
P/BV (x)	0.8	0.7	0.7	0.7	0.7
EV/EBITDA (x)	5.0	4.8	4.8	4.6	4.2
Dividend Yield	5.4%	5.4%	5.4%	5.5%	5.8%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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China Resources Gas (1193.HK, 1193 HK) Price Chart

Date	Rating	Price (HK$)	Price Target (HK$)
26-Aug-23	N	22.35	26.5
17-Sep-23	OW	21.00	27
02-Apr-24	N	24.95	25.5
30-May-24	OW	27.70	32
31-Aug-24	OW	26.30	30
17-Jan-25	N	27.65	28
29-Mar-25	N	28.20	23.55
30-Apr-25	N	21.65	21.5
16-Jul-25	N	20.25	18.5
03-Sep-25	N	19.95	19
25-Feb-26	N	21.66	20
30-Apr-26	N	19.01	18.5

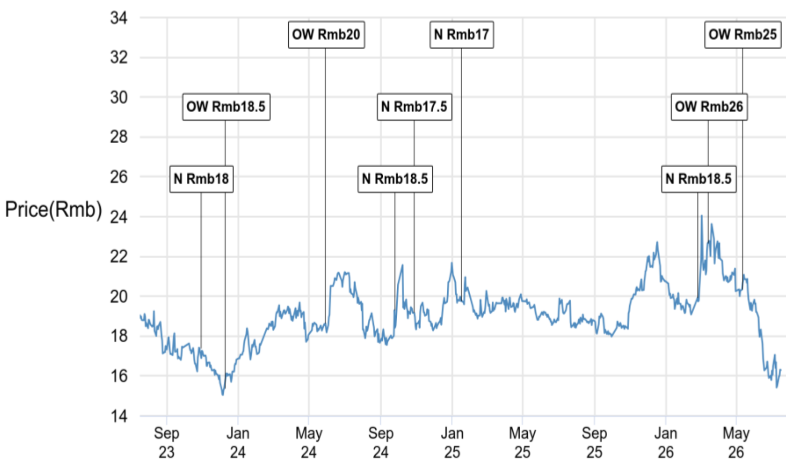
Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Mar 01, 2012. All share prices are as of market close on the previous business day.

ENN Energy (2688.HK, 2688 HK) Price Chart

Date	Rating	Price (HK$)	Price Target (HK$)
25-Aug-23	N	78.40	80.5
20-Sep-23	OW	62.30	80
28-Oct-23	OW	61.70	72.5
31-Jan-24	OW	58.70	70
02-Apr-24	OW	60.30	67.5
30-May-24	OW	73.60	80
24-Aug-24	OW	53.50	65
17-Jan-25	OW	53.85	63
01-Apr-25	OW	64.20	70
30-Apr-25	OW	61.45	68
16-Jul-25	OW	64.40	67
29-Aug-25	OW	62.75	66.5
25-Feb-26	OW	68.60	72.5
01-May-26	OW	61.10	68

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 12, 2002. All share prices are as of market close on the previous business day.

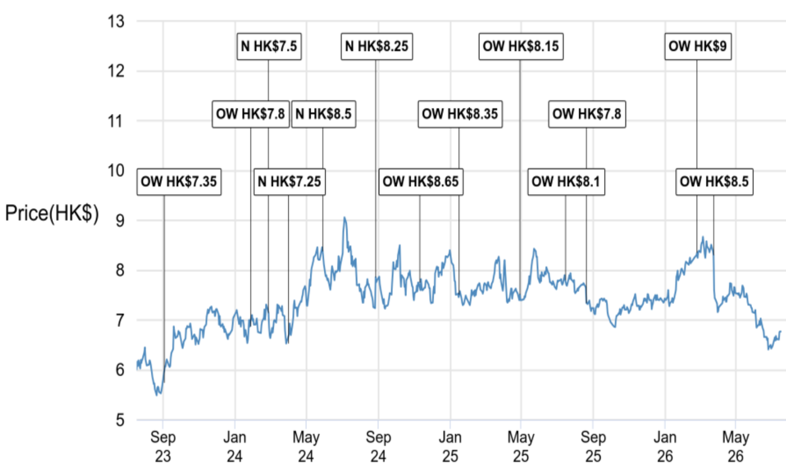
ENN Natural Gas – A (600803.SS, 600803 CH) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 22, 2020. All share prices are as of market close on the previous business day.

Date	Rating	Price (Rmb)	Price Target (Rmb)
30-Oct-23	N	17.38	18
11-Dec-23	OW	15.37	18.5
30-May-24	OW	18.64	20
25-Sep-24	N	19.30	18.5
28-Oct-24	N	19.18	17.5
17-Jan-25	N	19.76	17
25-Feb-26	N	19.92	18.5
15-Mar-26	OW	22.66	26
12-May-26	OW	20.34	25

Kunlun Energy (0135.HK, 135 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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Date	Rating	Price (HK$)	Price Target (HK$)
04-Sep-23	OW	5.74	7.35
28-Jan-24	OW	6.87	7.8
28-Feb-24	N	7.14	7.5
02-Apr-24	N	6.53	7.25
30-May-24	N	8.38	8.5
28-Aug-24	N	7.86	8.25
11-Nov-24	OW	7.75	8.65
17-Jan-25	OW	7.51	8.35
30-Apr-25	OW	7.51	8.15
16-Jul-25	OW	7.80	8.1
21-Aug-25	OW	7.34	7.8
25-Feb-26	OW	8.35	9
25-Mar-26	OW	8.30	8.5

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